Astral School — Valuation

Presenter's briefing · Excelerate Learning Foundation, Nagre Nagar, Nashik
CIN U88900MH2025NPL445351 · valuation date 31 March 2026 · basis: audited FY 2025-26

THE ONE SENTENCE EVERYTHING RESTS ON

The school business is worth X. It owes Rs 1.39 crore. What is left for the owners is X minus that.

Every tab in the workbook either establishes X, establishes the debt, or sanity-checks the subtraction. If you remember nothing else, remember this.

THE MEETING, IN ORDER

Never show the whole Summary at once. Reveal it in this sequence, or he reads the conclusion before you have earned the right to state it.

#	Step	Tab	Purpose
1	Agree the facts	Audited Base	His own audited numbers. Get a nod.
2	Teach one concept	(on paper)	The house and the home loan. Get a second nod.
3	Show the subtraction	Audited Base	Business value, minus debt, equals owners.
4	Two methods agreeing	Multiples + DCF	"I checked it two ways."
5	The range	Summary rows 17-24	Where six methods cluster.
6	What it costs him	Summary rows 28-32	The control table. Let it sit.
7	His number, tested	Reverse Test	Let him do the arithmetic himself.
8	The way forward	(conversation)	Debt, right-sized. Milestone ratchet.

THE FOUR NUMBERS TO KNOW COLD

Figure	Value	Why it matters
Adjusted EBITDA FY26	Rs 22,74,220	What the school really earns before financing
Net debt	Rs 1,38,81,206	The wedge between business value and owner value
Net debt / EBITDA	**6.10x**	**The diagnosis of the entire engagement**
Implied P/E at his ask	**79.4x**	**India's largest listed companies trade near 22x**

6.10x means it would take 6.1 years of every rupee of operating earnings to clear the debt. Lenders to a business this size get uncomfortable above 3 to 4 times.

BEFORE YOU WALK IN — THREE THINGS TO FIX

These are in the file as it stands. Each would be spotted in the room.

1. Two text cells contradict the numbers beside them

Cell	Reads	But the numbers say
Summary F23	"~ Rs 0.45 Cr to Rs 2.00 Cr, midpoint Rs 1.22 Cr"	100.9 / 387.0 / 243.9 lakh
Summary E28	"Promoter loses control"	Promoter retains 54.9% — a majority

Both are typed text left over from earlier settings. They did not follow when the discount rate changed.

2. The discount rate is currently set to no risk premium at all

Component	Now	Recommended
Risk-free + (beta x equity risk premium)	13.50%	13.50%
Size and illiquidity premium	0.00%	6.00%
Company-specific risk premium	0.00%	4.00%
COST OF EQUITY	**13.50%**	**23.50%**
WACC	**11.67%**	**18.67%**

A 13.50% cost of equity says a minority stake in one unlisted preschool, on leased land, without Maharashtra Board permission, in its first year of audited accounts, is as safe as a listed share you can sell tomorrow. No buyer accepts that, and it is the kind of assumption that makes a valuation look reverse-engineered.

3. The model is mechanically strained at this rate

- Terminal value is now **75–79%** of enterprise value, against 55–60% at a normal rate. Almost all the value sits beyond the forecast.
- The sensitivity grid auto-centres on the applied rate, so its bottom row is now **5.67%** — only 0.67 points above the 5% terminal growth rate. The terminal value formula divides by that gap, producing Rs 3,907 lakh for Case A. Meaningless.

Two cells fix all of this. Set the size and illiquidity premium to 6% and the company-specific premium to 4% on the DCF tab. Everything in the workbook recalculates, the grid steadies, and the page stops contradicting itself.

STEP 1 — AUDITED BASE: ESTABLISH THE FACTS

Open here. Every figure is from his own audited statements, signed by Ulhas Borse & Co under UDIN 26161661CUAYAX4200. There is nothing to dispute.

What is on screen

Metric	Rs	Rs lakh
Revenue from operations, FY26	60,90,900	60.91
Adjusted EBITDA	22,74,220	22.74
Profit after tax	12,58,940	12.59
Book equity	13,18,945	13.19
Book value per share (6,000 shares)	219.82	—
Net debt	**1,38,81,206**	**138.81**
Net debt / EBITDA	**6.10x**	

The normalisation — say this out loud

The EBITDA figure is not raw. Four adjustments were made, and three of them are in his favour:

Build-up	Rs
Profit before tax	17,73,700
Add back finance costs	91,700
Add back depreciation and amortisation	22,650
Add back loan insurance, processing and legal fees	2,03,070
Add back stamp duty on lease, 1/5 amortisation (non-cash)	2,02,640
Less other income (bank interest, not operating)	(19,540)
ADJUSTED EBITDA	**22,74,220**

SAY: *"I have added back about Rs 4 lakh of costs that are not really operating costs. That raises the earnings figure I am valuing you on."*

This buys enormous credibility before any bad news. You are visibly not building a case against him.

A correction worth making early

His report states 60,000 shares at Rs 31 each. The audited accounts say **6,000 shares** — stated five times, and his own auditor's earnings-per-share figure of Rs 209.82 only works with 6,000. Book value is **Rs 219.82** per share.

SAY: *"Small point, and it is in your favour. Your report says 60,000 shares at Rs 31. The audit says 6,000 shares and Rs 220 a share. Your CA's own EPS proves it. Just a typing error."*

And one nobody has flagged: authorised capital is 6,000 and all 6,000 are issued. He cannot issue a single new share to an investor until a resolution increases it and Form SH-7 is filed with the ROC. That belongs in the transaction timetable.

STEP 2 — THE ONE CONCEPT: ENTERPRISE VALUE vs EQUITY VALUE

Do not open the spreadsheet for this. Draw it on paper. This single idea accounts for most of the gap between his number and yours.

The house and the home loan

	Rs
Value of the house	1,00,00,000
Less home loan outstanding	(80,00,000)
Plus cash in the bank	5,00,000
WHAT YOU WALK AWAY WITH	**25,00,000**

SAY: *"The house is worth a crore. You are worth 25 lakh. And if someone wanted to buy 20% of your house, they would pay 20% of the 25 lakh — not 20% of the crore. They are buying your position, and your position comes with the mortgage."*

The same thing, for the school

	Rs lakh
Enterprise value — what the business is worth	X
Less net debt — the lenders rank ahead of you	(138.81)
EQUITY VALUE — what the owners are worth	**X − 138.81**

Shareholders are last in the queue. That is why they are called the *residual* claim — they get what is left.

This is the defect in his own report. It never performs this subtraction. An investor paying on that basis is paying for value that belongs to the lenders.

Clear up one confusion before it arises

Term	What it is	Here
Book equity	An accounting figure: assets minus liabilities at historical cost	Rs 13.19 lakh
Equity value	What a buyer would actually pay for the ownership	See the range

Book equity looks backwards at what was spent. Equity value looks forwards at what the business will earn. Book equity is a floor in the range, not the answer.

STEP 3 — ASSUMPTIONS AND PROJECTIONS

Only open these if he asks how the forecast was built. The headline is that two of the three cases are **his own numbers**.

The three cases

Case	Students FY27 to FY32	What it assumes
A — Organic	190 -> 360	No Rs 2 crore. The clean pre-money case.
B — Mgmt conservative	200 -> 540	Management's own numbers; assumes the raise lands
C — Mgmt moderate	200 -> 705	Plus a third preschool feeding in

Where you were more generous than he was

Assumption	His model	This model
Fee inflation per year	3.6%	7.0%
Tax	no tax line at all	26%
Student numbers	his own	his own, in two of three cases

SAY: *"On fee growth I have been more generous than you were. The one thing I added is tax. Companies pay tax, and your projections do not have a tax line anywhere."*

How a forecast becomes cash — Case A, Rs lakh

	FY27	FY28	FY29	FY30	FY31	FY32
Students	190	215	245	280	320	360
Revenue	79.89	96.73	117.94	144.23	176.37	212.30
EBITDA	21.55	27.06	32.77	39.47	47.14	56.87
FREE CASH FLOW	**14.57**	**18.00**	**21.38**	**25.29**	**29.16**	**34.92**

Students times fee gives revenue. Minus staff, rent and other costs gives EBITDA. Minus depreciation gives EBIT. Minus tax gives NOPAT. Add depreciation back (no cash left the building) and subtract capex. **Free cash flow is the only output that matters** — everything above it is the route there.

STEP 4 — THE DCF: TURNING CASH INTO VALUE

A discounted cash flow says a business is worth the cash it will produce for its owners, with future cash counted for less than cash today.

Why future money is worth less

Rs 100 you will receive in 2032 is not worth Rs 100 now. How much less depends on risk. The discount rate is the annual return an investor needs to take *this particular* risk. The two premiums are the heart of it: there is no market in which to sell these shares, and the school is a single site on leased land without Board permission.

The rate, as the sheet currently stands

Component	Rate
Risk-free rate (10-year government security)	6.75%
Beta 0.90 x equity risk premium 7.50%	6.75%
Size and illiquidity premium	0.00%
Company-specific risk premium	0.00%
COST OF EQUITY	**13.50%**
After-tax cost of debt (10% less 26% tax)	7.40%
WACC = 70% equity + 30% debt	**11.67%**

The four steps, Case A

Step	Rs lakh
Present value of six years of free cash flow	94.33
Plus present value of everything after FY32 (terminal value)	283.01
ENTERPRISE VALUE	**377.34**
Less net debt	(138.81)
EQUITY VALUE	**238.52**

All three cases

Case	Enterprise value	Less net debt	Equity value	Terminal value as % of E
A — organic	377.34	(138.81)	238.52	75.1%
B — conservative	597.89	(138.81)	459.08	77.9%
C — moderate	802.60	(138.81)	663.79	78.9%

Note the net debt line is identical in all three. The business value doubles from A to C, but Rs 1.39 crore comes off every time. That is why equity value swings far harder than business value — a fixed debt against a variable asset.

The last column is a warning light. At a normal discount rate terminal value is 55–60% of enterprise value. At 75–79% almost all the value sits beyond the forecast, where nobody can check it.

STEP 4b — THE SENSITIVITY GRID: YOUR DEFENCE

When someone says your discount rate is wrong, do not argue. Point at this grid. It auto-centres on whatever rate the build-up produces.

WACC	Case A	Case B	Case C
5.67%	3,907.0	6,484.4	8,850.6
7.67%	850.1	1,462.1	2,026.2
9.67%	412.8	744.5	1,051.3
11.67% (applied)	**238.5**	**459.1**	**663.8**
13.67%	145.2	306.6	456.9
15.67%	87.3	212.3	328.9

Equity value in Rs lakh.

SAY: *"Pick any discount rate you can defend. I will take yours. Here is what each one gives."*

The top row is currently nonsense. 5.67% is only 0.67 points above the 5% terminal growth rate, and the terminal value formula divides by that gap. Rs 3,907 lakh is an artefact, not a valuation. Fix the premiums and the grid re-centres sensibly.

Read the grid two ways

- **Across a row** — the same risk assumption under three growth stories.
- **Down a column** — the same growth story under six risk assumptions.

The spread down a column is wider than across a row. **Risk assumptions move this valuation more than growth assumptions do.** Worth knowing, because he will want to argue about student numbers and the real lever is the discount rate.

STEP 5 — MULTIPLES AND NAV: THE INDEPENDENT CHECK

A DCF has many moving parts. So the same question is answered a completely different way: what do buyers actually pay for schools, as a multiple of revenue or earnings?

Method	Enterprise value	Less net debt	Equity value
3x revenue	182.73	(138.81)	43.91
5x revenue	304.55	(138.81)	165.73
10x EBITDA	227.42	(138.81)	88.61
15x EBITDA	341.13	(138.81)	202.32
Net asset value (floor)	—	—	13.19

All figures Rs lakh. 3 to 5 times revenue is the band small Indian schools actually transact at.

This is your sturdiest ground and you should know it cold. These rows contain **no forecast and no discount rate** — only audited FY26 figures. When someone demolishes your WACC, these numbers are untouched and still say Rs 44 to Rs 202 lakh.

SAY: *"I checked this two completely different ways. The cash flow method and the market multiple method land in the same place. That is not a quirk of one model."*

Why the equity value is thin — the point that reframes everything

The building cost Rs 1.46 crore and was built with borrowed money. The asset and the loan are the same transaction seen from two sides. You cannot count the building and ignore the debt that paid for it.

SAY: *"Your school is not a bad business. It is a profitable business that happens to be financed almost entirely by debt. The equity is thin because the lenders are ahead of you. Pay the debt down and your equity value rises rupee for rupee, without a single extra student."*

STEP 6 — THE VALUATION RANGE (SUMMARY ROWS 17 TO 24)

Six independent methods stacked. The logic: no single method is right, so **agreement between methods is the evidence**. This layout is called a football field.

Method	Low	High	Mid	What it is
Net asset value	13.19	13.19	13.19	Floor. Land is leased.
Revenue multiple 3x-5x	43.91	165.73	104.82	Audited FY26 only
EBITDA multiple 10x-15x	88.61	202.32	145.47	Audited FY26 only
DCF Case A, organic	113.21	571.65	342.43	Pre-money: excludes the raise
DCF Case B, conservative	254.46	1,005.05	629.76	Assumes the raise lands
DCF Case C, moderate	386.11	1,405.30	895.70	Raise plus a third preschool
CONCLUDED RANGE	**100.91**	**386.99**	**243.95**	**Median of the six methods**
Client expectation	**1,000**	**1,000**	**1,000**	**4.1x your midpoint**

All figures Rs lakh. DCF low and high are the applied WACC plus and minus three points.

Where each row comes from

- **Row 17** — book equity from the balance sheet, divided by 100,000. Low equals high because it is a fact, not a range.
- **Rows 18 and 19** — the Multiples tab. Multiple times the metric gives enterprise value; minus net debt gives equity.
- **Rows 20 to 22** — the DCF, run at two rates either side of the applied one.
- **Row 23** — the median of the six lows and the six highs. It moves when anything above it moves.
- **Row 24** — his Rs 10 crore, on the same scale, and what multiple of your conclusion that is.

Row 23 is the live problem. The note beside it still reads "~ Rs 0.45 Cr to Rs 2.00 Cr, midpoint Rs 1.22 Cr" from an earlier setting, while the cells read 100.9 / 387.0 / 243.9. Rewrite that note before you present.

STEP 7 — WHAT IT COSTS HIM (SUMMARY ROWS 28 TO 32)

This block matters more than the valuation, because **he cares about control far more than he cares about valuation theory**. This is where the conversation becomes real.

The arithmetic

Investor share = raise divided by (pre-money + raise). The Rs 2 crore goes *into* the company, so it is part of what the investor owns a share of. Dividing by pre-money instead would hand him a share of his own money.

Pre-money	Rs 2 Cr buys	Promoter keeps	Justify	What it is
Rs 2.44 Cr	45.1%	54.9%	1.0x	Your concluded midpoint
Rs 2.00 Cr	50.0%	50.0%	0.8x	Illustrative
Rs 4.00 Cr	33.3%	66.7%	1.6x	Illustrative
Rs 8.00 Cr	20.0%	80.0%	3.3x	HIS REAL PRE-MONEY
Rs 10.00 Cr	16.7%	83.3%	4.1x	What he says he wants

The pre-money versus post-money trap — use this

He says Rs 10 crore. But Rs 10 lakh per 1% fixes the **post**-money at Rs 10 crore. Raising Rs 2 crore means selling 20%, so the **pre**-money is Rs 8 crore.

SAY: *"Just to be precise — is your ten crore before or after my investor's money goes in? Because at ten lakh per one per cent, selling twenty per cent for two crore means your pre-money is eight crore, not ten."*

His real ask is Rs 2 crore lower than he has been saying, and 3.3 times your conclusion rather than 4.1. He probably has not noticed. There is also a quirk worth naming: at a fixed Rs 10 lakh per 1%, raising *more* money does not raise the valuation — it just sells more of the school, and his pre-money *falls*.

The verdict label in row 28 is currently false. It reads "Promoter loses control" while the promoter retains 54.9%. At a defensible discount rate he would drop to 37.9% and the label would be right. Fix the premiums, and the central finding of the engagement comes back: **Rs 2 crore cannot be raised as equity without him losing his school.**

STEP 8 — THE REVERSE TEST: HIS NUMBER, TESTED

Every other tab argues forward: here are the inputs, here is the value. That invites a fight about inputs. This tab argues backward — it takes his number as given and asks what the world would have to look like. **It shifts the burden of proof onto him.**

What Rs 10 crore implies on today's audited numbers

Metric	Audited FY26	Implied multiple
Revenue	Rs 60,90,900	16.4x
Adjusted EBITDA	Rs 22,74,220	44.0x
Profit after tax	**Rs 12,58,940**	**79.4x**
Book equity	Rs 13,18,945	75.8x

Small Indian schools transact at roughly 1.5 to 3 times revenue or 6 to 12 times EBITDA. India's largest listed companies trade near 22 times earnings.

The sentence that ends the argument — use it with buyers, not with him

SAY: *"You pay Rs 10 lakh for one per cent. The school's profit last year was Rs 12.59 lakh. Your one per cent share of that is Rs 12,589 a year. At that rate it takes you **79 years** to get your money back."*

No model, no discount rate, no jargon. Any buyer with a calculator reaches it within a minute of seeing the audited accounts. **That is the real commercial risk to the engagement** — not your opinion of the number, but the fact that the first numerate buyer walks.

Two routes, if you want to go further

- **Hold his forecast, solve for the rate.** Rs 10 crore needs roughly a 10% discount rate. His own bank charges him 10% on *secured* loans. A 10% cost of equity says an unsecured, unsellable minority stake is as safe as the bank's secured lending.
- **Hold the rate, solve for scale.** Rs 10 crore needs roughly 2,400 students by FY32, against 155 today and 920 in his most bullish case — on an 8,500 sq ft campus. That is under four square feet per child.

The square-footage point is the most useful line in the whole engagement, because it needs no finance knowledge at all. He can picture it.

THE HARD QUESTIONS, AND YOUR ANSWERS

"Your discount rate is too high."

"Possibly. Here is the grid. Pick any rate you can justify and we are still in the same conversation. The conclusion does not depend on it — and the multiple-based methods have no discount rate in them at all."

"You have ignored my building. It is worth Rs 1.46 crore."

"I have not ignored it — it is why the business is worth what it is. But you built it with borrowed money. The building and the loan are the same transaction seen from two sides. You cannot count the asset and not the debt."

"My projections show Rs 73 lakh of profit by 2032."

"I used your projections. Two of my three cases are your own student numbers. I changed two things: I added tax, which you had omitted, and I subtracted your debt."

"Another valuer said Rs 10 crore."

"Ask them to show you the net debt deduction and the tax line. If their enterprise value is Rs 11.4 crore, ask what revenue multiple that is on Rs 60.91 lakh. The answer is sixteen times."

"You are lowballing me because of your fee."

"My fixed fee is the same whatever number I conclude. My success fee is a percentage of what I raise, so a dead deal pays me nothing. I need this to close more than you do — and it will not close at Rs 10 crore, because the first buyer who reads your audit walks away."

"So what is my school actually worth?"

"As a business, around Rs 2.5 to 4 crore. As *equity*, after the lenders, materially less — and that is a debt problem, not a school problem. It is fixable, and fixing it is worth more to you than arguing about the valuation."

WHERE THE MODEL IS WEAKEST — DISCLOSE THESE YOURSELF

Being caught on a weakness destroys trust. Naming it first builds trust. Say these before he finds them.

- **Terminal value carries most of the enterprise value.** Normal for a growing business, but it means the answer leans on long-run assumptions.
- **The discount rate is a judgement.** Defensible, not objective. That is why the grid exists.
- **The staff cost ramp is an assumption.** If staff costs stay at the audited 16.5% of revenue rather than rising toward 39%, value rises materially.
- **Case A's student numbers are mine, not his.** Arguable.
- **Whether FY 2025-26 is a full twelve months is unresolved.** The company was incorporated during that year. If it is a part year, the run-rate is higher and the whole range shifts up. This is the single thing most likely to move the number in his favour.

STEP 9 — WHERE TO TAKE THE CONVERSATION

Do not leave him sitting in the bad news. The pivot is the part that saves the relationship, and it is genuinely good advice.

SAY: *"You do not have a ten crore equity story yet. What you have is a growing school with a one and a half crore debt problem. Let us solve the debt with debt. Here is a structure that gets you the two crore without you giving up a single share."*

Three ways to give him most of what he wants

Option	What it is	Why it works for him
Right-sized debt	Secured NCDs, revenue-linked, with a cap and a [illegible]	No dilution at all. He keeps 100% of his school.
Milestone ratchet	Tranche 1 at a defensible valuation; tranche 2 at [illegible]	He gets the rest of the money if the numbers he is asking for are met
Separate SportsCo	Equity in a for-profit vehicle that operates the sports [illegible]	Real equity story, and the school is untouched

A caution on the structure

The entity is a Section 8 company (the CIN ends NPL — not-for-profit licensed). Such a company is licensed on an undertaking that it will not pay dividends to its members. If that is right, the income-share and exit his report promises investors cannot lawfully be delivered.

Verify this before anything goes to a buyer. Go to mca.gov.in, MCA Services, View Company Master Data, and enter the CIN. The Company Sub-Category field settles it in two minutes. If it confirms Section 8, the structure needs a company secretary before the valuation means anything — because you would not yet know what asset you are valuing.

OPEN ITEMS TO RAISE WITH HIM

#	Question	Why it matters
1	Is FY 2025-26 a full twelve months?	If part year, the run-rate and the whole range rise
2	Why does projected rent jump from Rs 8.04 lakh to Rs 20.40 lakh a year?	Rs 12 lakh a year of EBITDA
3	Why is projected staff cost 2.8x the audited figure?	The largest cost line in the model
4	Who lent the Rs 1.62 crore shown as unsecured?	If promoters on-lent, the loan story is far more defensible and should be prese
5	Do the projections cover Nagre Nagar alone?	The investor acquires Nagre Nagar only
6	What are the land lease terms?	Decides whether the building can be charged as security
7	What is the physical capacity of 8,500 sq ft?	540 to 920 students may not fit
8	Is any tax exemption claimed?	Full tax paid at 29% with no exemption may be an oversight worth several lakh

Present these as "here is what could move my number upward". Several genuinely could. It shows you are analysing rather than anchored.